

CITATION: Rush v. Via Rail Canada Inc., 2017 ONSC 2243

COURT FILE NO.: CV-14-507160

DATE: 20170518

ONTARIO

SUPERIOR COURT OF JUSTICE

BETWEEN:

Yael Rush and Thomas Rush

Plaintiffs

– and –

Via Rail Canada Inc.

Defendant

)
)
) Justin Koifman, Student-at-Law, for the
) Plaintiffs/Moving Party
)
)

) Kenneth R. Wace, for the
) Defendant/Responding Party
)
)
)

) **HEARD:** March 28, 2017
)

DECISION ON MOTION:

MASTER P.T. SUGUNASIRI:

- [1] This was a motion brought by the Plaintiffs to add a winter maintenance company as a defendant to the action. This main issue is whether or not the proposed claim falls outside of the two-year limitation period prescribed by the *Limitations Act, 2002*, S.O. 2002, c. 24, Sched. B. For the reasons that follow, the motion is allowed without prejudice to the new defendant raising limitations as a defence.

Background

- [2] The facts are straightforward and are not materially disputed. The Plaintiff Yael Rush's claim arises from an alleged slip and fall on a Via Rail platform in London on January 12, 2014. The Plaintiff Thomas Rush's claim is alleged to arise pursuant to the *Family Law Act*, R.S.O. 1990, c. F.3, as amended. On the day of the alleged incident when Ms. Rush first complained of it to a Via Rail employee, she was advised that it was not Via Rail but an outside company that was responsible for clearing snow and ice from the train platform. By letter dated June 17, 2014, counsel for the Plaintiffs sent a letter to Via Rail which among other things, requested information about the winter maintenance company referenced by the Via Rail employee.

- [3] After that letter, there appears to have been no follow-up by the Plaintiffs to receive the information they required about the third party snow removal company. Instead, the Plaintiffs had a claim issued on June 25, 2014. Via Rail Canada Inc. (“Via Rail”) delivered its Statement of Defence on December 23, 2014. In its defence, Via Rail pleaded, among other things, that it had contracted out the maintenance of the train platform in question to an independent winter maintenance company named Total Facility Solutions (“TFS”). Via Rail also commenced a third party action against TFS on May 6, 2015. TFS defended the third party claim and the main action, and delivered those defences on May 6, 2015.
- [4] After this initial flurry of activity, there appears to be nothing done by the Plaintiffs to obtain further information about TFS, having received more formalized notice of TFS’ involvement in the claim by December 23, 2014. On January 15, 2016, the Plaintiffs filed a notice of change of solicitors and appointed current counsel as counsel of record. New counsel attempted to schedule examinations for discovery in March and October of 2016 and then March of 2017 but were unsuccessful due to scheduling conflicts. In May of 2016 the Plaintiffs received productions from TFS as a third party to the action. In those productions was a partial contract between TFS and Via Rail, and some log records for work done during the material period.
- [5] The Plaintiffs now seek to add TFS as a defendant to the main action, primarily because Via Rail has indicated that it will be seeking to amend its defence to state, in the words of the affiant for the Plaintiffs/Moving Parties, that it “contracted its duty under the *Occupiers’ Liability Act* to TFS.” They rely on Rules 5.04 and 26.01 of the *Rules of Civil Procedure*. The Plaintiffs served their Notice of Motion on December 19, 2016. They argue that the claim against TFS was not discovered until they received documents in May of 2015 and as such, they are well within the two-year limitation period to add TFS as a defendant. In the alternative, the Plaintiffs argue that the claim was discoverable no earlier than December 23, 2014 when the defence was served indicating the involvement of the third party. Since the notice of motion was served on December 19, 2016, the Plaintiffs argue they are still within the two-year period to add TFS as a defendant. Finally, the Plaintiffs claim that even if the date of loss was the date that the claim against TFS was discovered, there are special circumstances that explain the delay in adding TFS and those circumstances should operate to extend the limitation period.
- [6] The Third Party, TFS, opposes the motion arguing that the claim against TFS was discovered on the date of loss and that the Plaintiffs are statute-barred pursuant to the *Limitations Act, 2002*. Further, special circumstances no longer serve to extend the statutory limitation period due to reforms brought to the new Act. In the alternative, TFS contends that if the claim against TFS was not discovered on the date of loss, it ought to reasonably have been discovered through diligence within two years of the date of loss such that a claim could have been made earlier. TFS did not provide any alternative argument in the event that I find that the claim against it was only discoverable either in December of 2014 or when the Plaintiffs received the partial contract and log records.

Applicable Rules and Legislation:

- [7] Rules 5.04(2) and 26.01 of the *Rules of Civil Procedure* essentially allow parties to amend their pleadings at any stage of the proceeding, with leave of the Court, and subject to some exceptions. The relevant provisions are as follows:

5.04(2) At any stage of a proceeding the court may by order add, delete or substitute a party or correct the name of a party incorrectly named, on such terms as are just, unless prejudice would result that could not be compensated for by costs or an adjournment.

26.01 On motion at any stage of an action the court shall grant leave to amend a pleading on such terms as are just, unless prejudice would result that could not be compensated for by costs or an adjournment. R.R.O. 1990, Reg. 194, r. 26.01.

- [8] The threshold to grant amendments is generally quite low. It is well established, however, that despite the mandatory language of Rule 26.01, in determining whether or not to grant an amendment, the Court must consider, among other things, whether or not the proposed claim is tenable: *Marks v. Ottawa (City)*, 2011 ONCA 248; [2011] OJ No.1445 at para 19 (CA). Included in that scrutiny is whether or not the proposed amendment runs afoul of any limitations periods. Adding an existing third party as a defendant to the main action is in essence, commencing a new action against that third party and this must be done within the permitted limitation period.

- [9] Rule 26.01 also has a prejudice component. In other words, an amendment will not be allowed if the party opposing the amendment can show that there will be prejudice that cannot be compensated by costs or an adjournment. However, where there is a claim that the limitation period has expired, there is a presumption of prejudice that must be rebutted by the moving party. One way to rebut the presumption is to present evidence that the respondent knew of the claim. In such a case, the onus shifts back to the respondent to show actual prejudice: *Deaville v. Boegeman*, [1984] OJ No 3403, 48 OR (2d) 725 (CA).

- [10] The relevant sections of the *Limitations Act, 2002* are as follows:

Basic limitation period

4 Unless this Act provides otherwise, a proceeding shall not be commenced in respect of a claim after the second anniversary of the day on which the claim was discovered.

Discovery

5 (1) A claim is discovered on the earlier of,

- (a) the day on which the person with the claim first knew,
- (i) that the injury, loss or damage had occurred,
 - (ii) that the injury, loss or damage was caused by or contributed to by an act or omission,
 - (iii) that the act or omission was that of the person against whom the claim is made, and
 - (iv) that, having regard to the nature of the injury, loss or damage, a proceeding would be an appropriate means to seek to remedy it; and
- (b) the day on which a reasonable person with the abilities and in the circumstances of the person with the claim first ought to have known of the matters referred to in clause (a).

Presumption

(2) A person with a claim shall be presumed to have known of the matters referred to in clause (1) (a) on the day the act or omission on which the claim is based took place, unless the contrary is proved. 2002, c. 24, Sched. B, s. 5 (2).

Adding party

21 (1) If a limitation period in respect of a claim against a person has expired, the claim shall not be pursued by adding the person as a party to any existing proceeding. 2002, c. 24, Sched. B, s. 21 (1).

Analysis:

- [11] The *Limitations Act, 2002* makes it clear that the basic limitation period to commence a proceeding is two years from the date it was discovered. As noted by Justice Weiler in *York Condominium Corp. No. 382 v. Jay-M Holdings Ltd.* (2007), 84 OR (3d) 414 at para. 2 (CA), the purpose of the new Act is to “balance the right of claimants to sue with the right of the defendants to have some certainty and finality in managing their affairs.”
- [12] In that vein, the Act protects the right to sue by incorporating common law discoverability principles. Subsection 5(2) of the Act presumes that the date of discovery is equivalent to the date of loss, unless a plaintiff can show that the cause of action could only be reasonably discovered at a later date. When, a reasonable person with the abilities and the circumstances of the plaintiff ought to have known of the loss or damage as described in 5(1) (a) of the Act, is a question of fact: *Lima v. Moya*, 2015 ONSC 324 (SCJ), [2015] OJ No 171 at para. 76, aff’d on appeal 2015 ONSC 3605 (DivCt), [2015] OJ No 3101 at para. 19; *Arcari v. Dawson*, 2016 ONCA 715; (2016), 134 OR (3d) 36 at para. 10. I am also guided by the Court of Appeal in *Aguoni v. Galion Solid Waste Material Inc.*, 1998 CanLII 954, [1998] OJ No 459 at para. 24 (CA) who held that “the

discovery of a tortfeasor involves more than the identity of one who may be liable. It involves the discovery of his or her acts, or omissions, which constitute liability.”

- [13] Another reform to the Act was to specifically prohibit adding a party to an existing action after the expiry of a limitation period, and to eliminate what had come to be known as the doctrine of special circumstances. To summarize that principle, a plaintiff can no longer add a party to an existing action after the expiry of a limitation period pursuant to Rule 5.04(2) where he or she can show “special circumstances” surrounding the delay in bringing the claim (For a detailed analysis of this point, see the Ontario Court of Appeal’s decision in *Joseph v. Paramount Canada’s Wonderland*, 2008 ONCA 469, [2008] OJ No 2339). This absolute bar is reiterated more recently by the Court of Appeal in *Arcari supra* at paras.7-10 (OCA). This puts to rest the Plaintiffs’ argument in this motion that special circumstances ought to be considered. They must not.
- [14] Finally, if a plaintiff does not raise any issue of credibility or issue of fact that would merit consideration on a summary judgment motion or at trial and there is no reasonable explanation on the evidence as to why the plaintiff could not have discovered the claim by exercising reasonable diligence, the Court may deny the motion. However, if there is an issue of fact or credibility, the appropriate remedy is to allow the amendment without prejudice to the added party raising the limitations defence in its pleading: *Pepper v. Zellers Inc.* 2006 CarswellOnt 7985, [2006] OJ No 5042 at paras. 18, 19, 24 (CA).
- [15] In the present case the Plaintiff Yael Rush is alleged to have slipped on the Via Rail platform in January of 2014. Applying the principles set out above, I find that the Plaintiffs could not have reasonably discovered sufficient material facts relating to any loss or damage caused by TFS until they were served with the Statement of Defence on December 23, 2014, 6 months after the Plaintiffs served their claim. The fact that a Via Rail employee is alleged to have told Ms. Rush that there was a winter maintenance company that was responsible for the snow removal on the date of loss is not sufficient to have started the limitations clock. While I agree that the Plaintiffs were not diligent in their inquiries, they came to know of the necessary material facts required to plead against TFS soon after the date of loss, in any event, when such a pleading was made against TFS by Via Rail. The limitations period started on December 24, 2014.
- [16] This then takes me to the argument raised by the Plaintiffs that they served their Notice of Motion to add TFS as a defendant to the main action on December 19, 2016 and as such, acted within the limitation period. I agree with the Plaintiffs that their rights crystallized when they delivered their Notice of Motion on December 19, 2016. See *Philippine/Filipino Centre Toronto v. Portugal*, 2010 ONSC 956, [2010] OJ No 750 at para. 44 (DivCt). This puts their request to add TFS within 2 years of the date I find the claim against TFS was discovered.
- [17] If I am incorrect in my finding that the Plaintiffs discovered the material facts required to make a claim against TFS on December 24, 2014, the proposed amendment to add TFS as a defendant to the main action should still be allowed on the basis that there is a factual dispute about discoverability that should be left for determination by the trier of fact on a

full evidentiary record. For example, more evidence is required on what conversation occurred between Ms. Rush and the Via Rail employee as to TFS' role as the winter maintenance provider. Did the Plaintiffs have any other conversations or make any other inquiries - perhaps verbal – to ascertain more information about TFS at the date of loss or shortly after? Were there any other conversations that took place before the defence was served in December of 2014? I am not satisfied on the record presented that I could make a proper determination on whether the claim of TFS was reasonably discovered prior to December 24, 2014.

- [18] Finally, I was not presented with any persuasive evidence to suggest that TFS would suffer prejudice if the amendment were permitted and TFS was required to defend as a main defendant. On the contrary, TFS has been involved in this action since May 6, 2015 when it delivered its defences as a third party to both the main claim and the third party claim. Being added to the main claim now would presumably require a minor amendment to its existing pleading and perhaps some additional limited discovery.
- [19] Giving the foregoing, I order that Total Facility Solutions be added as a defendant to the main action, without prejudice to it raising a limitations defence. The Amended Statement of Claim shall be served and file within 30 days of the date of this decision. TFS shall deliver its Amended Statement of Defence within 30 days from the date of service of the Amended Statement of Claim. Costs of the motion are awarded to the Plaintiffs in the amount of \$2,503.60 inclusive of disbursements and HST, payable within 30 days from the date of this decision.

“original signed”

Master P.T. Sugunasiri

Released: April 18, 2017

